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Executive Summary

The retail business demonstrates **stable operational performance** throughout the analysis period, supported by a loyal customer base, consistent transaction volumes, and a balanced sales strategy across products, categories, payment methods, discounts, and sales channels. While customer acquisition appears limited, the company benefits from strong customer retention and diversified revenue sources. The analysis also highlights several opportunities to improve profitability through targeted marketing, inventory optimization, customer segmentation, and data-driven promotional strategies.

1. Business Performance Overview

The business recorded **12,575 transactions** during the analysis period, maintaining relatively stable monthly activity.

Across all years:

- **January** consistently generated the highest transaction volume (**1,361 transactions**).
- **July** followed with **1,089 transactions**.
- **February, April, and October** showed comparatively lower transaction activity.

Overall, the business demonstrates healthy operational consistency with:

- **Average Transaction Value: 123**
- **Total Revenue: 1.55M**

These results suggest stable customer demand throughout the analyzed period.

2. Customer Analysis

The dataset contains exactly **25 unique customers**, and the same customer set appears every month throughout the analysis period.

Key findings include:

- **25 unique customers**
- **Average Transactions per Customer: 503**

This indicates exceptionally strong customer retention.

However, the constant customer count may also suggest that the dataset represents a fixed customer sample rather than the company's complete customer base. Therefore, conclusions regarding customer acquisition or churn should be interpreted cautiously.

Since the number of customers remains unchanged while monthly transaction volume fluctuates, changes in sales performance are primarily driven by **customer purchasing frequency** rather than customer growth.

3. Customer Purchasing Behavior

Customer engagement varies considerably despite the stable customer base, naturally dividing customers into **VIP** and **low-frequency** segments.

Top Customer:

- **CUST_24**
- **Top VIP Customers**

Customer Transaction

CUST_05 544

CUST_24 543

CUST_13 534

CUST_08 533

CUST_09 519

Recommendations

- Retain high-value customers through loyalty programs.
 - Increase engagement among lower-frequency customers using targeted campaigns.
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4. Product Performance & Pricing Strategy

Product demand changes over time, indicating dynamic customer preferences.

Key Metrics

- **Average Product Price: 23.37**
- **Highest Price Product: Item_25_PAT**

Despite premium pricing, products in the **Item_25** series continue to generate strong demand.

Top Revenue Products

- **Item_25_FUR — 26K**
- **Item_25_EHE — 26K**
- **Item_25_BUT — 22K**
- **Item_24_FUR — 22K**
- **Item_25_FOOD — 22K**

Maintaining sufficient inventory for these premium products is recommended to protect future revenue.

5. Revenue vs. Quantity Analysis

The analysis shows that **the highest-selling products are not always the most profitable**, highlighting two distinct product roles.

Traffic Drivers (Highest Quantity)

Product	Quantity Sold
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Item_19_MILK	639
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Item_25_FUR	625
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Item_25_EHE	622
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Item_22_BUT	588
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Profit Drivers (Highest Revenue)

Product	Revenue
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Item_25_FUR	26K
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Item_25_EHE	26K
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Item_25_BUT	22K
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Key Insight

Item_25_FUR and Item_25_EHE perform exceptionally well because they generate both high sales volume and high revenue.

6. Category Performance

Category performance reveals noticeable differences between revenue generation and sales volume.

Revenue Performance

Rank Category		Revenue Share	
1	Butchers	208K	13.41%
2	Electric Household Essentials	204K	13.13%
3	Beverages	197K	12.70%
4	Furniture	195.31K	12.58%
5	Food	194.81K	12.55%
6	Computers & Electric Accessories	190.69K	12.29%
7	Patisserie	182.17K	11.74%
8	Milk Products	180.11K	11.60%

Quantity Performance

Rank Category		Quantity
1	Furniture	8.5K
2	Food	8.4K
3	Beverages	8.4K
4	Milk Products	8.3K
5	Electric Household Essentials	8.3K
6	Computers & Electric Accessories	8.3K
7	Butchers	8.2K
8	Patisserie	7.9K

Key Observation

Although **Butchers** ranks relatively low in sales quantity, it generates the highest revenue, indicating a higher average selling price.

In contrast, **Patisserie** records the lowest sales volume and one of the lowest revenue contributions.

7. Payment Method Analysis

Customer spending is well distributed across all payment methods.

Payment Method	Transactions	Revenue	Average Transaction Value
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Cash	4.31K (34.27%)	0.54M	125
Digital Wallet	4.14K (32.95%)	0.51M	122
Credit Card	4.12K (32.77%)	0.51M	123

Cash performs slightly better across all metrics; however, the differences are relatively small.

8. Discount Analysis

The business does not rely heavily on discounts.

Discount	Transactions	Revenue
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Without Discount	8.36K (66.45%)	1.03M
With Discount	4.22K (33.55%)	0.52M

Average Quantity:

- Without Discount: **5.54**
- With Discount: **5.53**

Key Observation

The analysis suggests that discounts do not meaningfully increase basket size. Promotional performance should therefore be evaluated using profitability rather than revenue alone.

9. Sales Channel Analysis

Online sales slightly outperform in-store sales across all major business metrics.

Metric	Online	In-store
Transactions	6.4K	6.2K
Revenue	791.40K	760.67K
Revenue Share	50.99%	49.01%
Average Transaction Value	125	122
Quantity Sold	33.7K	32.5K

The company should continue investing in its omnichannel strategy while strengthening digital capabilities.

Strategic Business Recommendations

Customer & Marketing Strategy

- Develop loyalty programs for VIP customers such as **CUST_05** and **CUST_24**.
- Use personalized product recommendations and bundle high-demand products with premium products.
- Apply targeted promotions instead of broad discounts, particularly for slower-moving categories such as **Patisserie**.

Product & Pricing Strategy

- Maintain premium pricing for the **Item_25** product line, as demand remains strong despite higher prices.
- Ensure sufficient inventory for high-revenue categories such as **Butchers** and **Electric Household Essentials**.

- Continue investing in online sales by introducing additional digital services and exclusive online offers.
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